Insurance

by Sophia

WHAT'S COVERED

In this lesson, you will learn about ethical challenges and obligations specific to the insurance industry. Specifically, this lesson will cover:

1. How Insurance Works

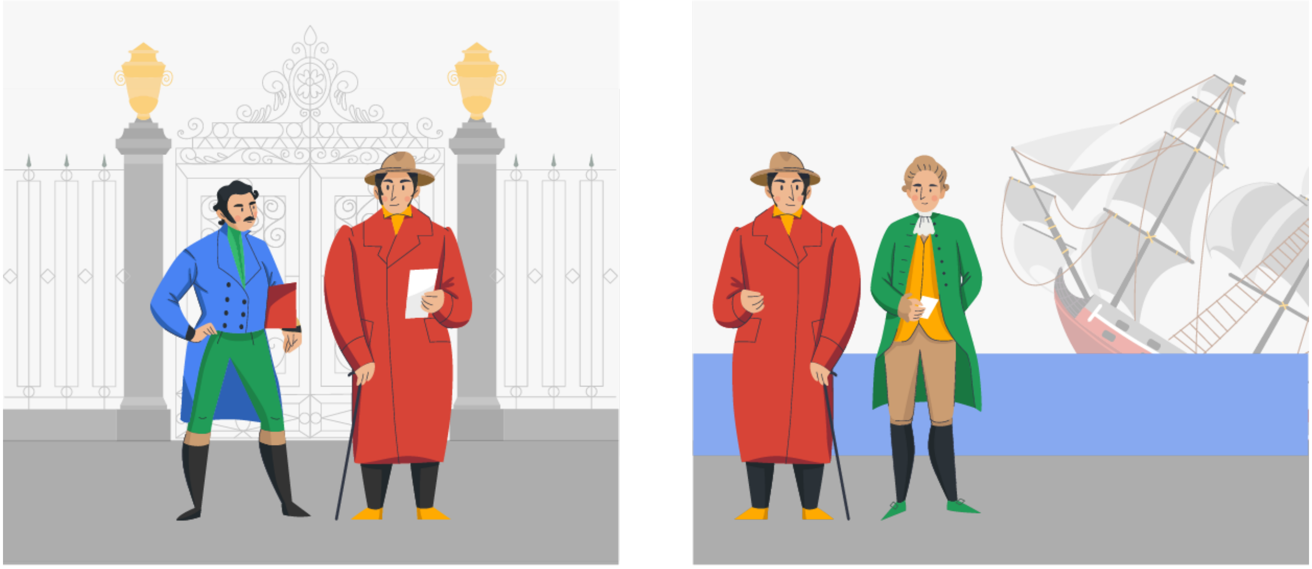
In this tutorial, we will begin a discussion of the insurance industry, with a focus on property insurance—that is, insurance for homes, businesses, and vehicles. Health insurance is the biggest insurance industry and will be discussed in the next tutorial on health care.

The irony of insurance is that we buy it hoping never to use it. Still, businesses and consumers alike appreciate that losing a property can be financially devastating and so they seek to protect against it. Insurance coverage does not prevent accidents or other tragic events from occurring, but it does offer a means to recover, at least partially, from the monetary costs associated with them.

1a. History

Although the concept of insurance dates back to antiquity, the insurance industry as a profession came of age in the seventeenth century, when maritime trade in valuable commodities like coffee, tea, cocoa, sugar, and silk became an immense industry, but one fraught with uncertainty. Merchants sought a means to limit their financial losses in the event their cargoes were lost at sea.

In England, merchants and shippers gathered together in associations, or syndicates, to distribute the risk of loss as evenly as possible. For a fee, individual merchants and ships' owners in these syndicates could buy insurance, essentially the right to be financially compensated by the syndicate's fund for their loss if their shipments or vessels were lost due to an accident or piracy.



The modern insurance industry began with Lloyd's of London underwriting losses at sea for merchants and shipowners. The company is still in existence 335 years later.

1b. Terminology

In insurance terminology, the company **underwrites**, or assumes the financial risk, in exchange for a fee. The first such association of traders and shippers began at Samuel Lloyd's coffee house, on Tower Street near the River Thames, in 1688. This was the origin of the huge insurance market now known as Lloyd's of London, and from these early forms of group insurance sprang the profession as it exists today.

An insurance company makes money when purchaser fees, called **premiums**, are numerous, and claims, requests for monetary compensation for covered losses, are few. But, of course, accidents occur, whether they take the form of shipping losses, vehicular collisions, or home or business fires. So, insurance carriers set customer premiums at a high enough rate to compensate themselves with a baseline profit when claims for compensation arise. The way the industry defines "reasonable" is directly reflected in the premiums it sets and the terms of compensation for losses, which it calculates based on history and statistics, a process known as **actuarial science**.

Insurance policies constitute a form of contract between insurers and the insured. To reduce their losses in those situations in which they must pay on a claim, insurers do their best to attach high premiums to the coverage and identify exclusions and limits on it. They worry about being forced to pay out on frivolous and exaggerated claims, while policyholders fear that on the rare occasions when they will have to file a claim, their reimbursement will be minuscule and/or their future premiums will rise. From the perspective of the consumer, the guarantee of a fair payout on a claim is the only inducement to pay insurance premiums in the first place (although sometimes there are also legal requirements to own insurance).

1c. Ethics

In any business, the essential practice for profitability is to cut expenses and raise revenue to guarantee a profit. In the insurance industry, this is done by raising premiums and/or minimizing payouts, that is, outright denying claims, or paying less than what the customer requests.

Nobody can deny the insurance industry provides a valuable service, or that any company takes overhead expenses to run. Nor could anyone deny that for efficiency and to remain solvent, insurance companies have a need to investigate claims in case of fraud, or cases where the loss of property was due to negligence on the part of the client. Insurance companies must also make sure the amount they are paying is no more than what the property was worth, or what was agreed to in the contract.

THINK ABOUT IT

What constitutes a reasonable profit, and where does a company draw the line between profitability and public service? What is a reasonable denial, and what is unethical? If you feel that insurance companies should err on the side of compensating customers, what can insurance companies do to remain viable and able to pay off other deserving claimants, particularly in times where many claims are filed at once? We will continue examining this question in the following section.

TERMS TO KNOW

Underwriting
The assumption of financial risk, usually in exchange for fees.

Premiums
The fees paid by clients to an insurance company.

Actuarial Science
The applied science of assessing risk and potential compensation to calculate premiums that will, given a pool of insured clients, ensure that an insurance company makes a profit. The professionals who do this work are called actuaries.

2. Natural Disasters

Companies that provide property insurance are generally assured that there will be few enough claims in a given year that they compensate the insured families fully without worry about the bottom line. Though they still might investigate questionable claims, they also need to maintain a public image as reliable, so they are likely to do so without a fight. However, after a natural disaster, insurance companies face a predicament where many people file claims at once. For this reason, many companies have exclusions for "acts of God," like tornadoes. But imagine being a victim of such an event, and discovering your insurance company that has been collecting your premiums for years, even decades, won't help when you need it most?

2a. Floods and Earthquakes

In August 2017, Hurricane Harvey dumped 52 inches of rain on Houston, Texas, accompanied by fierce winds. Tens of thousands of homes and businesses suffered severe damage and flooding. Although normal homeowners' and business owners' insurance provides for loss due to hurricane winds, it does not cover loss due to flooding. As *The Economist* observed in the immediate aftermath of the hurricane, "whereas wind damage is covered under most standard insurance policies in America, flood insurance is a government-run add-on that far from all homeowners buy. As a result, of over $30 billion in property losses in Texas, only 40% may be insured (2017). Not only do few homeowners buy flood insurance, few private insurers offer it. After all, insuring people against flood damage in flood-prone areas would be a losing proposition for any carrier to undertake.

But the federal government is not a commercial broker and does not intend to make a profit from extending any sort of insurance coverage. For that reason, the National Flood Insurance Act of 1968 established a way to dispense flood coverage through a federal agency. Today that supervising agency is the Federal Emergency Management Authority (FEMA), in partnership with the Department of Homeland Security. As of

August 2017, just before Harvey struck, some five million households had taken out FEMA-sponsored flood coverage.

The California Earthquake Authority serves a similar function at the state level by managing privately funded insurance against earthquakes in California. The private brokers in the program make no profit from offering this coverage, but they do earn the right to offer (and profit from) other insurance in California.

2b. Climate Change

We do not know with certainty what effect climate change will have on the incidence or severity of natural disasters. We do know, however, that these events are more frequent than they used to be, and that they can be ruinously expensive, for both the families affected and for the insurance companies.

Business writer Don Jergler said, for example, that “climate change has created a ‘wildfire crisis in California,’ which in turn is ‘causing a fire insurance predicament.’” California insurance commissioner Dave Jones warned in December 2017, after a particularly disastrous fire season in California, that “insurers may start to back off writing insurance in some areas [of the state],” and this would pose a crisis for homeowners who consequently lost insurance protection against losses caused by wildfires.

In Canada, too, “environmental risks linked to climate change are becoming important issues for insurers who need to consider their response to related risks and climate related losses whether arising from weather related events such as flood and storms or liability risks from third party claims.”

When insurance carriers must pay claimholders more often on claims arising from natural disasters, they lose money at a rate that could make them less willing to underwrite policies in the future. This unwillingness, in turn, would deny coverage against these disasters to an increasing number of individuals and companies. The high cost of disaster claims and subsequent shrinking of policy offerings are losses first experienced by the insurance industry, but they have rapid and dire consequences for policyholders.

Again, we come to the ethical conundrum as to what we might fairly expect from insurance carriers and from clients who seek to insure themselves against natural disasters. In regions where certain kinds of disasters are more likely to occur, is it reasonable to dictate that carriers still must provide coverage? If so, should we consider extending public subsidies to the carriers to protect them against catastrophic payouts? Should premiums be assigned on the basis of the incidence patterns and severity of risk associated with particular disasters in certain regions? With these questions, we return to the ethical consideration of what constitutes a reasonable profit for carriers and what premium policy holders ought to be charged for sufficient coverage.

The United States does not have the strong tradition of**private/public ownership** of industries that other nations do. Essentially, private/public ownership is an arrangement in which private (industry) and public (government) monies are combined to more safely bear an industry’s risk and also share in its profit. It is often a successful partnership. When we consider the scale of loss that can result from natural disasters, and the extent of the public’s need for protection from such loss, insurance may be a U.S. industry in which private/public ownership of some policies would be appropriate.

The National Flood Insurance Program and the California Earthquake Authority are rare examples of public agencies managing insurance coverage that private insurers have declined to provide because the potential for profit is too low. Whether partnerships like this can and should be expanded, and whether they can be funded from federal and state budgets, are ethical questions for federal and state governments and policyholders alike.

THINK ABOUT IT

In selecting coverage and setting prices, how does an insurance company choose the ethical balance between making a reasonable profit and risking catastrophic losses of its own?

TERM TO KNOW

Public/Private Ownership

An arrangement in which private (industry) and public (government) monies are combined to more safely bear an industry's risk and also share in its profit.

---

3. Redlining

A specific ethical challenge within the insurance profession is the tendency to engage in**redlining**. Redlining is the practice of assigning or denying coverage for certain policies, such as auto, homeowners, or business insurance, on the basis of the geographic neighborhoods where applicants for such coverage live, particularly low-income urban neighborhoods. A variation on the practice is to charge considerably higher prices for the same coverage in different neighborhoods. Redlining assumes that the propensity for accidents, burglaries, fires, and other catastrophes is higher in some areas than others, so claims and costs will be higher for the insurance carrier.

At first glance, this practice appears to make economic sense. Looking beneath the surface, however, reveals that redlined neighborhoods are often areas where racial and ethnic minorities live. No insurance carrier ever admits to engaging in discriminatory redlining (the term refers to an older practice by which insurance companies marked certain neighborhoods in red on print copies of coverage maps). Nearly every state in the United States forbids the practice. Yet a comprehensive 2017 study by *Consumer Reports* and ProPublica, a nonprofit research organization, indicated the phenomenon may remain very much a reality. This study focused on rates for auto insurance and found that for "decades, auto insurers have been observed to charge higher average premiums to drivers living in predominantly minority urban neighborhoods than to drivers with similar safety records living in majority White neighborhoods. Insurers have long defended their pricing by saying that the risk of accidents is greater in those neighborhoods, even for motorists who have never had one" (Anguin, et al, 2017).

The authors of the report compared auto insurance premiums and claims paid in four states (California, Illinois, Missouri, and Texas) and found similar results whether the carrier was Allstate, Geico, Liberty Mutual, or another. They contended "that many of the disparities in auto insurance prices between minority and White neighborhoods are wider than differences in risk can explain." This is significant because laws do typically permit premium rates to be set according to the incidence of claims filed within certain neighborhoods. Yet laws never allow rates to be based solely or predominantly on the race or ethnicity of the residents in different neighborhoods. This is the essence of prohibited redlining. Professionals in the industry do well to steer clear of this practice or even the appearance of it, and that is the overriding theme of this study.

The ethical challenge for any responsible carrier is to ensure that the race, ethnicity, or creed of any policyholder plays absolutely no role in the premiums assigned to them. There is no defensible reason to base a carrier's decision to extend or deny insurance coverage, or assign the premium amount for it, on these factors.

THINK ABOUT IT

If you are a driver, you probably know that insurance premiums can vary based on things that have nothing to do with a driving record. People who live in cities are charged more, as well as younger and older drivers, based on statistics that say they are more likely to get in accidents. Is it fair to charge auto insurance premiums based on statistics? Why or why not?

TERM TO KNOW

Redlining

The practice in the insurance industry of denying coverage or charging higher premiums on the basis of the geographic neighborhoods where applicants for such coverage live.

SUMMARY

In this lesson, you learned **how insurance works** and how the risks of doing business, owning a home or a car, and even living, can be spread over a group to avoid cataclysmic loss. The **history, terminology**, and **ethics** of this industry were briefly introduced. The ethical dilemma of insurance is how to remain solvent, and even generate profits, while providing customers the security they deserve from paying premiums. This is most important after **natural disasters**, such as **floods and earthquakes** (or others potentially linked to **climate change**), when many clients can file big claims at the same time. Another ethical issue is discrimination. The insurance industry in the United States has a long history of **redlining**, a practice of charging more for insurance or denying insurance to people of color or to neighborhoods where they reside.

REFERENCES

Angwin, J., et al. (2017, April 5). *Minority Neighborhoods Pay Higher Car Insurance Premiums Than White Areas with the Same Risk.* ProPublica Investigative Reporting. www.propublica.org/article/minority-neighborhoods-higher-car-insurance-premiums-white-areas-same-risk

The Economist (2017, September 9). Hurricane Harvey Has Exposed the Inadequacy of Flood Insurance. www.economist.com/finance-and-economics/2017/09/09/hurricane-harvey-has-exposed-the-inadequacy-of-flood-insurance

TERMS TO KNOW

Actuarial Science

The applied science of assessing risk and potential compensation to calculate premiums that will, given a pool of insured clients, ensure that an insurance company makes a profit. The professionals who do this work are called actuaries.

Premiums

The fees paid by clients to an insurance company.

Public/Private Ownership

An arrangement in which private (industry) and public (government) monies are combined to more safely bear an industry’s risk and also share in its profit.

Redlining

The practice in the insurance industry of denying coverage or charging higher premiums on the basis of the geographic neighborhoods where applicants for such coverage live.

Underwriting

The assumption of financial risk, usually in exchange for fees.